

Practice Problem Set 1

ECON 101 – Macroeconomics

Fall 2025

1. Explain why scarcity is considered the fundamental problem of economics. Provide two real-world examples of trade-offs individuals face, and discuss how opportunity cost is involved.
2. Why do economists use models and assumptions when studying real-world issues? Briefly discuss the strengths and limitations of using models in macroeconomics.
3. Give one example each of a positive statement and a normative statement related to government spending. Explain why the distinction matters in economics.
4. Using the concept of comparative advantage, explain how trade can make both trading partners better off, even if one is more productive in producing all goods.
5. Explain what a point inside the PPF, on the PPF, and outside the PPF represent. Give one example for each.
6. A student can either write an essay (which takes 5 hours and earns her a grade improvement worth the equivalent of \$80) or work part-time at a café (which pays \$15/hour).
 - (a) What is the opportunity cost of writing the essay?
 - (b) Should the student write the essay or work? Explain using economic reasoning.
7. Consider an economy that produces only two goods: wheat and cars. The following table shows maximum output combinations:

Combination	Wheat (tons)	Cars (units)
A	0	100
B	200	90
C	400	70
D	600	40
E	800	0

- (a) Draw the PPF.
 - (b) Calculate the opportunity cost of moving from combination B to C.
 - (c) Is the opportunity cost constant, increasing, or decreasing? Explain.
8. Two countries, Alpha and Beta, can each produce cloth and wine. Their daily production possibilities are:

Country	Cloth (units)	Wine (units)
Alpha	60	30
Beta	40	20

- (a) Calculate the opportunity cost of cloth and wine in each country.
- (b) Identify which country has comparative advantage in each good.
- (c) Explain how both countries can gain from trade.